

Alphabet Inc.

GOOGL NASDAQ

Buy	\$340.67 ▼ 1.17%	12M Price Target \$385.00	52-Week Range \$201.30 – \$408.61	Market Cap \$4.17T
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GOOGL: Waymo Chip Play Meets Robotaxi Green Light

WHAT HAPPENED

- Stock dipped 1.17% yesterday, but this looks like sector sympathy pain — Tech ETF is down 4% over 5 days and Communication Services is off 1.66%. GOOGL isn't being singled out; the whole tech complex is cooling as money rotates to energy (+4.4% on the week).
- Two Waymo catalysts overnight that the market is undervaluing: Vegas robotaxi permits granted (alongside Tesla and Uber), AND Waymo is designing its own AI chip in-house. Translation — they're building a vertically integrated robotaxi stack like Tesla, which could dramatically improve unit economics long term.

WHY IT MATTERS

The Waymo custom-chip news is a bigger deal than the tape suggests. Building your own silicon means Alphabet is telling the world Waymo is a real business with a 10-year roadmap, not a science project — and it cuts NVIDIA out of the bill of materials, which is how you get to profitable robotaxi economics. Combined with Vegas permits (a top-5 US ride-hail market), Waymo is quietly becoming a "sum-of-the-parts" catalyst that could force analysts to assign it real value instead of a rounding error. The bearish put flow at \$370-\$390 strikes tells me institutions are hedging near-term downside into month-end, not making a directional bet — that's protection, not conviction selling.

POLICY & POLITICAL WATCH

The big overhang is still the DOJ antitrust remedy phase on Search — the government wants Chrome divested and default-search deals unwound. Watch for the final remedy ruling; if it lands softer than feared (behavioral remedies vs. structural breakup), GOOGL rerates higher by 10-15% overnight. Separately, the teen social-media lawsuit dismissal ahead of the October trial is a small win — it suggests the courts are getting more skeptical of the "platforms harm kids" theory, which reduces regulatory tail risk for YouTube. Federal AI executive orders continue to favor large, compliant incumbents like Google over startups — that's a quiet moat.

IS IT EXPENSIVE?

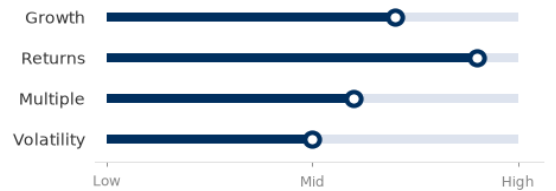
At ~35x forward earnings (you're paying \$35 for every \$1 of profit expected next year), GOOGL is priced in line with the S&P tech average but cheaper than Microsoft (~38x) and Meta (~36x) despite arguably better AI infrastructure. The \$4.17T market cap already prices in Search + Cloud + YouTube — Waymo and Gemini upside are essentially free options. Not a screaming bargain, but reasonable given 12-15% earnings growth and the antitrust cloud starting to lift.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$340.67
12M Price Target	\$385.00
Upside / (Downside)	+13.0%
Market Cap	\$4.17T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	34.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$360.00	\$345.00	\$325.00
6 Months	\$400.00	\$370.00	\$310.00
1 Year	\$440.00	\$385.00	\$290.00
2 Years	\$520.00	\$430.00	\$270.00
5 Years	\$750.00	\$550.00	\$300.00
10 Years	\$1200.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% weekly) — commodity strength and geopolitical premium. Real Estate quietly firming on rate-cut expectations.

COOLING OFF: Tech (-4% weekly) and Comm Services (-1.7%) — classic late-summer rotation out of crowded winners. Utilities weak too, suggesting it's not a defensive rotation but a risk-on shift to cyclicals.

ROTATION WATCH: Money leaving mega-cap tech and flowing to energy and cyclicals — this is a tactical rotation, not a regime change. When Fed cuts land, tech tends to bounce back hard.

RELATED PLAY: If you like the Waymo thesis, the data-center and custom-silicon supply chain benefits — think Broadcom (AVGO) which co-designs custom chips, or Vertiv (VRT) for cooling infrastructure.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Riding the energy tape, not comparable but showing where money went this week.
- META (Meta Platforms): Holding up better than GOOGL in the tech selloff — investors see less regulatory overhang and cleaner AI monetization via ad targeting.

GOOGL CONTEXT: GOOGL is roughly middle-of-the-pack in Mag 7 this month — not leading, not lagging. That's actually fine given the antitrust overhang; the stock is coiling near \$340 waiting for a catalyst (DOJ ruling, earnings, Waymo milestone). When it moves, it'll move fast.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid setup with real optionality, but antitrust and AI-search disruption keep me from pounding the table.

POSITION SIZE: 4-6% — this is a core large-cap holding, not a swing trade. Sized to matter but not to hurt if DOJ surprises to the downside.

ENTRY POINTS: I'd add on pullbacks to \$330-340 (current zone is fine for starters). If we get a broader tech washout to \$310-315, back up the truck.

TIME HORIZON: 12-24 months — catalysts are the DOJ final remedy, Waymo revenue disclosures, and Cloud margin expansion.

WHEN TO BAIL: Search revenue prints negative YoY, or DOJ orders a Chrome divestiture, or Waymo announces a major setback.

HEDGING: Buy September \$325 puts as insurance into the DOJ ruling — costs a small premium but caps your downside if the ruling goes badly. Or just keep dry powder to buy the dip.